

WEEK 6:

Accounts:

- Fundamental building block of the accounting system that helps build the financial statement
- 1. Asset accounts:**
 - Represent resources owned or controlled by the business
 - Cash/accounts receivables/inventory/equipment/buildings
- 2. Liabilities account**
 - Represent obligations or debts the business owes to others.
 - Something the business has to pay in future
 - Accounts payable/loans payable/salaries payable/taxes payables
- 3. Equity accounts:**
 - Represent the owners' claim or ownership interest on the business
 - Owners capital – own money/retained earnings – profit/drawings – owners withdrawals – not an expense
- 4. Revenue accounts:**
 - Records the income the business earns – any revenue generated
 - Sales revenue/service revenue/interest income
- 5. Expense accounts:**
 - Represent costs incurred to run the business and generate revenue
 - Rent expense/salaries expense/advertising expense/utilities expense
 - Profit – revenue – expense

Rules of accounting:

- **Debit – when you get something**
- **Credit – when you give something**
 - Debit what comes in, credit what goes out
 - Debit the receiver, credit the giver
 - Debit all expenses/losses, credit all incomes and gains

Investing capital – cash debit ; capital credit

Taking loan – cash a/c – debit ; credit bank which gives loan

Buys equipment - debit equipment ; cash credited (cash goes out)

Withdraw money for personal use: credit cash going out ; debit the receiver (person)

Fundamental accounting equation:

- Assets = liabilities + equity(capital)
- Assets – resources owned by business – cash / inventory
Liabilities – obligations to outside parties – loans / payables
Equity residual interest or the owners claim on assets after all liabilities are paid

Inventory:

- Goods/materials that a business holds for the purpose of selling to customers or using in production
- Considered as a current asset.

COST OF GOODS SOLD:

COGS = Opening inventory + purchase – closing inventory

Closing inventory is a current asset

Valuation of inventory:

1. FIFO – accounting method where assets purchased first are disposed of first.
2. LIFO – most recently produced items sold first.
3. Weighted average – cost of all units available for sale is averaged and this cost is used to value.

The Scenario

- **Opening Inventory:** 100 units @ ₹5 each (₹500)
- **Purchase 1:** 200 units @ ₹7 each (₹1,400)
- **Sale:** 150 units sold @ ₹15 each.

FIFO → first 100 units sold at Rs 5 → $100 \times 5 = 500$
next 50 units sold at Rs 7 → $50 \times 7 = 350$ } 850 Rs → COGS

Closing inventory = remaining 150 units × Rs 7 = 1050

Opening Inventory = 500 + 1400 = 1900 Rs

LIFO → first 150 units at Rs 7 = 1050 → full 150 from newer units
 $\rightarrow$ COGS

Closing inventory → 50 units at Rs 7 + 100 units at Rs 5 = 850

Weighted Average : $\frac{\text{total cost}}{\text{total no. of shares}} \rightarrow \frac{\sum \text{units} \times \text{price}}{\sum \text{units}} = \text{average value of 1 unit}$

$$\Rightarrow \frac{500 + 1400}{300} = 6.33$$

∴ Sell 150 units at 6.33 Rs per unit

$$\Rightarrow 150 \times 6.33 \approx 950 \text{ Rs}$$

Closing Inventory = $\underset{\substack{\uparrow \\ \text{remaining shares}}}{150} \times 6.33 \approx 950 \text{ Rs.}$

Depreciation:

Reduction in the value of fixed assets due to wear and tear or obsolescence over time.

treated as indirect expense

annual depreciation = $\frac{\text{cost} - \text{salvage amt}}{\text{no. of years}} \rightarrow$ and reduced every year } straight line method
 $\rightarrow$ keep subtracting this value
 depreciation value is constant.

annual depreciation = opening value $\times$ Rate $\rightarrow$ and reduced every year } WDV
 $\rightarrow$ keep finding rate $\times$ (opening value - depreciation)
 $\downarrow$
 for new depreciation value

Financial Statements:

Formal records that consolidate financial activities.

Transactions → Journal Entries → Gen Ledger → Trial Balance → Financial Statements

1. Income statement:

Denotes performance of business.

Finds the profit/loss: expense – revenue

2. Balance sheet:

Depicts the financial position of the company on a specific date (usually last day of accounting year).

Basically tells us about assets: **assets = liabilities + equity**

3. Cash flow statement:

Tracks movement of cash :

Net change in cash = operating + investing + financing

Income statement:

- **Trading account:**
 - **Credit side: incomes** derived from the primary business of the company.
– sales + closing stock
 - **Debit side: expenses** tied to the production of the organization.
 - **Gross profit:** difference between credit and debit sides --- this is the result of trading account
- **Profit and loss account:**
 - **Credit side: indirect incomes** - gross profit
 - **Debit side: indirect expenses** – expenses necessary to run the business
 - **Result:** after reducing interest and tax the final balancing figure is the **Net Profit after Tax** – added to the owners' capital.

Balance Sheet:

- Liability and capital side - sources of fund
 - Equity capital/reserves and surplus/short term/long term liabilities
- Assets side – application of funds:
 - Fixed/current assets

Cash flow statement:

- Operating activities
 - Business does in order to execute its primary operations – revenue generated from the company's core operations
 - Cash received from customers/cash paid to suppliers/salaries
- Investing activities
 - Buying and selling long term assets used in the business
 - Purchase of equipment/sale of land/investments into other companies
- Financial activities
 - Related to raising money and repaying funds
 - Issuing shares/borrowing from banks/repayment of loans